

When he received a call from his broker in mid-June reporting that the stop took him out at 69.88, Scott scratched his head and wondered what went wrong.

He asked me. “One word: Greed. Since you needed money for the stereo, once price cleared the top of the diamond, you should have put a limit order to sell at your target.” Although this technique limits the profit potential (because you get taken out even though the stock may double after that), it allows a trader to capture the turn near an expected high.